

Employee Reimbursement Policy

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1. Purpose

The Employee Reimbursement Policy establishes the process through which MedCore Hospitals reimburses employees for reasonable business expenses incurred while performing authorized work. It defines which expenses may be claimed, what evidence is required, how claims are reviewed and approved, how advances are settled, and how Finance handles rejected, duplicate or exceptional submissions.

The policy is intended for employee-incurred business expenses rather than patient billing or employee medical benefits. An employee's treatment at a MedCore facility continues to be billed under the applicable patient billing process; any staff benefit or concession for treatment is maintained separately by HR and is not an employee reimbursement claim.

2. Scope

This policy applies to full-time, part-time and fixed-term employees who incur an authorized expense on behalf of MedCore. Consultants, vendors and external service providers are not processed through this policy unless their contract explicitly states that a particular employee-expense arrangement is to be administered through MedCore Finance.

- Expenses must have a clear business purpose connected with the employee's assigned work.
- The employee should obtain required pre-approval before committing to material travel, events or purchases.
- The claimant is responsible for submitting complete and truthful information; the approving manager is responsible for reviewing business necessity and authority.
- Finance is responsible for financial verification and payment processing, not for deciding whether an employee's work assignment itself was appropriate.
- Personal expenses must not be shifted to MedCore merely because they were incurred during a business trip or workday.

3. Core Principles

Principle	Application
Business purpose	Every claim states what work activity required the expense and, where relevant, the project, meeting or travel reference.
Reasonableness	The amount should be proportionate to the business purpose and consistent with the applicable fictional limits.
Evidence	Receipts, invoices, tickets or equivalent supporting records are attached where required.
Approval before commitment	Pre-approval is required for categories or amounts designated as advance-approval items.
One expense, one claim	The same receipt or transaction must not be submitted more than once.
Traceability	Claim, approval, payment and any advance remain linked through their respective references.
Timely submission	Employees submit claims within the stated period so that expenses do not remain unresolved in accounting records.

4. Key Definitions

Term	Meaning in this policy
Expense claim	A request submitted by an employee seeking reimbursement for an eligible business expense already paid by the employee.
Term	Meaning in this policy
Expense date	The date on which the employee incurred or paid the expense, not the date on which the claim was submitted.
Advance	Money provided to an employee before an approved business activity to cover expected eligible expenses.
Advance settlement	The reconciliation of an advance against actual eligible expenses after the activity is completed.
Supporting evidence	Receipt, invoice, ticket, approved statement or other record sufficient to substantiate the expense.
Approving manager	The employee authorized to confirm that the expense was necessary for business purposes and within the applicable budget or delegation.
Exception	A case that cannot be processed through the normal rule because of missing evidence, unusual circumstances, timing, approval or system constraints.

5. Eligible Expense Categories

The following categories are normally eligible when they are incurred for authorized business activity. Eligibility does not mean automatic reimbursement: the claimant must still satisfy the evidence, approval and limit requirements applicable to the category.

Category	Examples	Primary control
Official travel	Rail/air fare, approved local transport, business lodging	Travel authorization and supporting booking/payment record
Local conveyance	Taxi, cab, approved public transport, parking during official travel	Business route or purpose and receipt where available
Business meals	Meal with an external stakeholder or meal during approved travel	Business purpose, participants where applicable, and amount within limit
Work supplies	Small urgent stationery or work materials purchased personally	Itemized receipt and confirmation that procurement was not reasonably available
Communication	Approved business calls or temporary data used for official work	Usage record or invoice where available
Professional activity	Approved conference, workshop, registration or industry event	Prior approval and registration/payment evidence
Other approved expense	A necessary business cost not fitting another category	Specific manager approval and Finance review

6. Expenses That Are Normally Not Reimbursable

The policy does not reimburse ordinary personal consumption or costs that an employee would have incurred without the business activity. Where an expense has both personal and business elements, only the clearly identifiable business component may be considered.

- Personal shopping, entertainment, minibar charges and leisure activities during business travel.
- Traffic penalties, fines or charges resulting from an employee's personal violation.
- Upgrades chosen for personal preference when the approved travel class or room category was available.
- Expenses already paid directly by MedCore or another employee.
- Alcoholic beverages unless a separately authorized corporate event policy explicitly permits them; this policy itself does not create such an entitlement.

- Expenses supported only by an unsupported personal note where a receipt or other reasonable evidence was expected and available.
- Artificially divided transactions designed to avoid an approval threshold.
- Expenses submitted with altered, duplicated or misleading documentation.

7. Standard Expense Limits

The following limits are fictional internal control values for the MedCore dataset. They define the amount Finance may process through the ordinary route; an amount above the limit is not automatically prohibited, but requires the additional approval described below.

Expense type	Standard limit per occurrence	Additional condition
Business meal — domestic	₹1,500 per person	Business purpose must be stated; external participants should be identified.
Local conveyance — single trip	₹1,200	Route or business purpose required.
Hotel — domestic business travel	₹6,000 per night	Prior travel approval required.
Rail/air travel	Approved fare for the authorized class	Booking must follow approved travel authorization.
Parking / tolls	₹1,500 per day	Related to official travel or field work.
Work supplies	₹3,000 per purchase	Urgent/necessary business use and itemized receipt.
Professional event registration	₹15,000 per event	Department Head pre-approval required.

Where an expense exceeds a standard limit because a higher amount was unavoidable, the claimant must explain the reason and obtain the higher-level approval specified in the exception matrix. Finance does not silently reduce a valid claim to the limit if the approving authority has explicitly authorized the higher amount.

8. Business Travel

Travel reimbursement begins with an approved travel request or business assignment. The request identifies the destination, expected dates, business purpose, employee, department and expected cost. A travel request is not itself a reimbursement claim; it authorizes the business activity and provides a reference against which later expenses are checked.

Employees should use the approved booking route where one exists. If a booking must be made personally because of an operational constraint, the employee retains the confirmation and payment evidence and explains the reason when submitting the claim.

- Travel dates on the claim should agree with the approved business itinerary.
- A change to the itinerary that materially increases cost should be reported to the approving manager.
- If a trip is cancelled, refundable tickets or unused bookings should be surrendered or recovered where practical.
- Personal extensions of a business trip are permitted only where separately authorized and do not create a reimbursement entitlement for the personal period.
- If a mixed personal/business booking cannot be separated directly, the employee must provide a reasonable calculation of the business portion.

9. Lodging

Hotel reimbursement is based on the approved business itinerary and the actual eligible room cost, subject to the standard limit. The employee submits the hotel invoice showing dates, room charges and applicable taxes or other line items needed for verification.

Personal room upgrades, entertainment, minibar consumption and other incidental personal charges are excluded. Where a hotel invoice combines eligible and non-eligible items, the employee should identify the eligible portion instead of submitting the entire invoice as business expense.

If the standard hotel limit cannot reasonably be met because of a major event, limited availability or another business circumstance, the employee should obtain pre-approval where practicable. For an unavoidable last-minute situation, the claim must include the reason and be routed through the exception process.

10. Local Conveyance and Mileage

Local conveyance includes taxis, app-based cabs, public transport, parking and tolls incurred for official work. The claim should indicate the business purpose and sufficient route information to establish that the journey was work-related.

Situation	Claim treatment
Office to client/site visit	Eligible when the visit is part of authorized work; route and purpose recorded.
Home to normal office commute	Not reimbursable under this policy.
Airport/station to approved business destination	Eligible as official travel conveyance.
Personal detour during business trip	Only the business-related portion may be claimed.
Use of personal vehicle for field work	Eligible only where the manager has authorized personal-vehicle use; supporting distance record required.
Parking/toll during official journey	Eligible with payment evidence where available and linked to the trip.

11. Business Meals and Hospitality

A business meal is reimbursable when it has a documented business purpose, such as a meeting with a client, vendor or professional contact, or when it occurs during approved business travel. The claim should state the occasion and identify external participants or the relevant internal meeting where that information is needed to establish the business purpose.

The ₹1,500 per-person domestic meal limit applies to the fictional standard route. The limit includes food and non-alcoholic beverages that form part of the meal. If the total exceeds the standard amount, the claim must identify the reason and follow the exception approval route.

Meals that are primarily social or personal are not converted into business expenses merely by adding a

business-related description after the event. Where a meal includes both business and personal participants, the claimant should calculate the eligible business share.

12. Work Supplies Purchased Personally

Employees may occasionally purchase low-value work supplies personally when the item is urgently needed and the normal procurement route cannot meet the operational requirement. Such purchases are intended as exceptions to normal purchasing, not as a replacement for Procurement.

- The employee records why the item was needed and why normal procurement was impractical.
- The itemized receipt should identify the goods and amount paid.
- The employee should not divide one purchase into several invoices to stay below the ₹3,000 standard limit.
- Repeated personal purchasing of the same type of item may be referred to Procurement for a formal sourcing arrangement.
- High-value equipment, medical supplies, software subscriptions and contracted services should not be acquired through employee reimbursement unless an authorized exception explicitly permits it.

13. Professional Events and Training

Conference fees, workshops, professional events and approved external training may be reimbursed when they are relevant to the employee's role and have been authorized by the appropriate manager.

The request should identify the event, organizer, dates, employee, expected fee and business purpose.

The standard fictional registration limit is ₹15,000 per event. Amounts above this level require Department Head approval before commitment. If the event includes travel or lodging, those expenses remain subject to their own category limits and approval requirements.

14. Claim Submission Process

Employees submit reimbursement claims through the designated Finance expense workflow. Each claim receives a unique expense claim reference. The employee attaches supporting evidence and provides the business purpose, expense date, category, amount, cost centre or department and any related travel or project reference.

Step	Employee / Manager / Finance action	Output
1. Incur expense	Employee pays an eligible business expense.	Receipt/payment evidence
2. Prepare claim	Employee records each expense and business purpose.	Draft expense claim
3. Attach evidence	Employee uploads receipts, tickets, invoices and approvals.	Complete claim package
4. Manager review	Approver confirms business necessity, budget and policy compliance.	Approved / returned claim
5. Finance verification	Finance checks arithmetic, evidence, duplicates and category treatment.	Verified / exception claim
6. Payment	Finance posts the approved amount and initiates reimbursement.	Payment reference
7. Closure	Claim is marked paid and retained with supporting records.	Closed expense record

15. Supporting Evidence Standards

A receipt or invoice is the preferred evidence for most expenses. Where a receipt is genuinely unavailable, the employee may submit an alternative record such as a digital payment confirmation, booking record or supplier-generated statement, together with a written explanation. Finance may reject an unsupported claim when the evidence is insufficient to establish the nature, amount or business purpose of the expense.

- The evidence should show the transaction date and amount.
- For travel, the booking or ticket record should support the route and travel date.
- For meals, the receipt should be accompanied by the business purpose and required participant information.
- For digital payments, the payment confirmation alone may not establish what was purchased; an invoice or order record should be attached where available.
- Photographs or scans must be readable and must not be materially altered.

16. Approval Responsibilities

Approval confirms business necessity and managerial authorization; it does not transfer responsibility for truthful submission from the employee to the approver. The approver should check the claim before it reaches Finance.

Claim / decision	Minimum approving authority
Routine claim up to ₹5,000	Reporting Manager
₹5,001–₹20,000	Department Head
Above ₹20,000	Finance Manager + Department Head
Professional event above ₹15,000	Department Head before commitment
Expense above a standard category limit	Approver under the exception route; Finance review required
Policy deviation or unusual accounting treatment	Chief Financial Officer

The employee who incurred an expense cannot approve their own reimbursement claim. Where the claimant is a senior manager, the claim moves to the next authorized level. The Finance Manager may require additional evidence for unusual claims regardless of amount.

17. Travel and Expense Advances

An advance may be requested when an employee expects to incur substantial eligible costs during an approved business activity. The request states the purpose, dates, estimated categories and amount required. Finance releases the advance only after the required approval is recorded.

An advance is not additional compensation. After the activity, the employee must submit the actual expenses and reconcile the advance. If eligible expenses are lower than the advance, the unused balance is returned or otherwise settled through the Finance process. If eligible expenses exceed the advance, the employee may claim the documented difference.

Advance situation	Required treatment
Advance greater than actual eligible expenses	Employee returns or otherwise settles the unused amount; claim records show the reconciliation.
Advance situation	Required treatment
Actual eligible expenses equal advance	Claim is submitted for accounting reconciliation even if no additional payment is due.
Actual eligible expenses exceed advance	Employee submits the additional eligible amount with evidence.
Trip cancelled	Unused advance is returned promptly and cancelled bookings/refunds are accounted for.
Advance remains unsettled after activity	Finance flags the employee account and may hold new advances until the earlier item is resolved.

18. Advance Settlement Deadline

For the fictional MedCore process, an employee must submit the expense statement and settle the advance within ten working days after completion of the approved activity. Finance may extend the deadline where a receipt, supplier invoice or travel document is genuinely pending, provided the employee records the reason and expected completion date.

An employee with an unresolved advance should not assume that a new advance will be issued automatically. The Finance Manager may require the earlier advance to be reconciled before approving another request, particularly where the outstanding amount is material or repeatedly overdue.

19. Foreign Currency and International Business Travel

Where an employee incurs an eligible expense in a foreign currency, the claim records the original currency amount and the amount actually charged or converted through the employee's payment instrument where available. The employee attaches the card statement, conversion record or other reasonable evidence used to establish the INR amount.

If the payment was made in cash and no conversion record exists, Finance may use the approved internal exchange-rate method for the applicable transaction date. The method used should be consistent across comparable claims and recorded in the claim.

20. Exceptions and Missing Evidence

Finance distinguishes between a claim that is ineligible and a claim that is potentially eligible but incomplete. An incomplete claim is returned to the employee for clarification or additional evidence where practical. An ineligible claim is rejected with the applicable reason.

Issue	Normal action	Escalation
Missing receipt but alternative evidence available	Finance reviews alternative evidence and business purpose.	Finance Manager if evidence remains insufficient
Expense exceeds standard category limit	Obtain documented exception approval.	Higher authority under approval matrix
Expense incurred without required pre-approval	Claim is placed in exception review.	Department Head / Finance Manager
Duplicate receipt or transaction detected	Hold duplicate and reconcile original.	Finance Manager if intentionality is unclear
Personal component included	Remove non-business portion and process eligible share.	Manager if allocation is disputed
Suspected falsified evidence	Freeze claim and preserve records.	Finance Manager / CFO

Advance remains overdue	Flag employee account and request settlement.	Finance Manager
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21. Late Claims

Routine reimbursement claims should be submitted within thirty calendar days of the expense date. Claims submitted after this period are routed through an exception review and must state why the employee could not submit them earlier.

A late claim is not automatically invalid, but repeated late submission may be reported to the relevant department head. Finance may defer processing until the employee provides sufficient explanation and the approving authority confirms that the expense remains a valid business cost.

22. Duplicate Claims, Corrections and Cancellations

If an employee discovers that an expense was submitted twice, the employee must notify Finance before payment wherever possible. If payment has already occurred, Finance records the duplicate and initiates recovery or adjustment through a separate financial entry.

A claim should not be deleted merely because it contains an error. Where the system permits correction, the original record and correction reason should remain traceable. If a claim is cancelled before payment, the cancellation reason is retained so that an auditor can distinguish it from a rejected claim.

23. Practical Scenarios

Scenario	Policy treatment
Employee buys ₹2,200 of urgent stationery personally.	Potentially eligible if the purchase was necessary, procurement was impractical, an itemized receipt exists, and the appropriate approval is obtained; the standard per-purchase limit is ₹3,000.
Employee submits a ₹7,500 hotel bill for one night.	The standard domestic lodging limit is ₹6,000. The excess requires documented justification and exception approval rather than silent reimbursement at ₹6,000.
Employee extends a business trip by two personal days.	Business travel expenses remain eligible only for the authorized business period; incremental personal costs are excluded.
Two employees submit the same restaurant receipt.	Finance holds the duplicate and determines which employee incurred the reimbursable expense.
An employee cannot find a taxi receipt.	A digital payment record or other reasonable evidence may be reviewed with a written explanation; Finance decides whether the evidence is sufficient.
An employee receives an advance of ₹20,000 but spends ₹14,500 on eligible expenses.	The employee settles the ₹5,500 unused balance and submits the expense statement for reconciliation.
A ₹30,000 conference fee is paid without prior Department Head approval.	The claim enters exception review; payment is not treated as automatically approved merely because the event was work-related.

24. Audit Trail and Records

The expense record should allow Finance or an internal reviewer to reconstruct the transaction from request through payment. At minimum, the retained record includes the claim reference, employee, department, expense date, category, amount, business purpose, evidence, approval, any exception decision, payment reference and status.

- Finance may sample claims by employee, department, category, amount, frequency or exception type.
- Repeated claims immediately below approval thresholds may be reviewed for possible splitting.
- Claims involving frequent manual exceptions may be referred to the department head for process correction.
- Advance balances are reviewed separately from ordinary reimbursement claims.
- Access to employee expense records is limited to personnel with a business need to review or process them.

25. Employee and Manager Checklist

Before submitting or approving a claim, the following questions should be answered:

- Was the expense incurred for an authorized business purpose?
- Is the correct expense category selected?
- Is the amount mathematically correct and within the applicable standard limit?

- If the amount exceeds a limit, is the exception reason documented?
- Was required pre-approval obtained before the commitment?
- Is the receipt, invoice, ticket or alternative evidence readable and sufficient?
- Has the expense already been claimed or paid through another route?
- If an advance exists, has it been included in the reconciliation?
- Are personal portions excluded?
- Are all required approval and payment references retained?

26. Relationship with Other Finance Policies

This policy is intentionally distinct from the patient-facing financial controls maintained elsewhere in the Finance & Billing department. The Hospital Billing Policy governs patient account billing and separately notes that employee treatment benefits are maintained by HR. The Discount Approval Policy governs concessions on patient bills, while the Patient Refund Policy governs return of amounts collected in excess of a reconciled patient balance. None of those processes should be substituted for an employee expense claim.

For employee purchases of goods or services, Procurement remains the normal route where the purchase is planned, recurring, high-value or otherwise within the procurement process. Reimbursement is designed for employee-incurred business expenses and controlled exceptions, not for bypassing supplier selection or purchase approval.

27. Related Documents and Document Control

Related document		Relationship	
Hospital Billing Policy (FIN-POL-001)		Patient billing lifecycle; includes the separate treatment-benefit reference for MedCore employees.	
Insurance Claims SOP (FIN-SOP-002)		Insurance-linked patient accounts; not an employee expense process.	
Patient Refund Policy (FIN-POL-003)		Refunds arising from reconciled patient accounts; separate from employee reimbursement.	
Discount Approval Policy (FIN-POL-004)		Discretionary discounts on patient bills; does not approve employee expense claims.	
Employee Benefits Schedule		HR-controlled staff benefits, including any applicable treatment concessions.	
Procurement Policy		Planned purchases, vendor engagement and sourcing controls.	
Version	Effective date	Change summary	Owner
1.0	01 June 2026	Initial release; established eligible expense categories, limits, claim workflow, advances, exceptions and audit controls.	Chief Financial Officer